

Iqbal Ahmad v. State of U.P. & 2 Others

Allahabad High Court · Division Bench · 1 February 2021 · Writ - C No. 2936 of 2021 · **Writ petition disposed of without deciding merits; petitioner to file a fresh representation within two weeks for a reasoned speaking final assessment after hearing, preferably within four weeks of receipt; no coercive action for six weeks or until that decision, whichever is earlier; no benefit if the representation is not filed**

HEADNOTE

A licensee cannot recover by treating a provisional assessment as the final assessment without an opportunity of hearing and without supplying a copy of a final order. Applying Shishir Jain, the Division Bench held that the consumer cannot be compelled to deposit the provisional figure unless a final assessment is made after considering the objection and hearing him. Treating the provisional amount as final is de hors Section 126 of the Electricity Act, 2003 and Clauses 6.8 and 8.1 of the U.P. Electricity Supply Code, 2005, and violates natural justice; Clause 8.1 requires inspection, provisional assessment, hearing and final assessment in theft cases. Without entering the merits, the Court directed a fresh representation for a reasoned speaking order after hearing, stayed coercive action for six weeks or until that decision, and withheld the benefit of the order if the representation is not filed. The recovery was not quashed.

FACTUAL SUMMARY

Iqbal Ahmad filed Writ-C No. 2936 of 2021 in the Allahabad High Court seeking certiorari to quash recovery of Rs. 10,42,949 on service connection No. 157969, founded on Assessment Cum Recovery Notice No. 2639 dated 16 September 2019 and demand notices dated 31 December 2019 under Sections 3 and 5 of the U.P. Government Electrical Undertaking (Dues Recovery) Act, 1958. He said the 16.9.2019 provisional assessment was never served, objections were not considered, the provisional figure was treated as final, and no hearing was given, contrary to Section 126(3) of the Electricity Act, 2003 and Clauses 6.8 and 8.1 of the U.P. Electricity Supply Code, 2005.

Counsel for the Power Corporation (respondent nos. 2 and 3) said inspection found use of electricity by illegal means; a provisional assessment notice issued on 16.9.2019; and as no objection was filed, that notice was treated as the final assessment.

HOLDING-UNITS

INTERPLAY · UP-2005::8.1

Provisional theft assessment cannot be treated as final without hearing and supply of the order

QUESTION

May a licensee recover a theft demand by treating a provisional assessment as final because no objection was filed, without a hearing and without supplying a copy of a final order?

HOLDING

No. Applying Shishir Jain, the petitioner could not be compelled to deposit on the provisional assessment without an opportunity of hearing while making a final assessment, and without being supplied a copy of that order. Treating the provisional amount as final without a hearing is de hors Section 126 of the Electricity Act, 2003 and Clauses 6.8 and 8.1 of the Code, 2005, and violates natural justice. Clause 8.1 is the licensee's procedure for inspection, provisional assessment, hearing and final assessment in theft of electricity. Without entering the merits, the Court directed a representation within two weeks for a reasoned speaking final assessment after hearing, preferably within four weeks; coercive action is stayed for six weeks or until that decision, whichever is earlier; default in filing the representation forfeits the benefit. The recovery was not quashed. ¶ 8-11

QUALIFIER

Operative relief is a time-bound representation, not certiorari. The Court cited Clause 6.8 alongside Clause 8.1 without choosing between unauthorised use and theft.

FLAG Unnumbered 1.2.2021 order; paras are sequential blocks from 'Heard learned counsel' (1 heard; 2 reliefs; 3 petitioner — PAN 16.9.2019 never served, objections not considered, treated as final, recovery of Rs. 10,42,949; 4 no hearing, s.126(3), Clauses 6.8 and 8.1; 5 licensee — illegal means, PAN 16.9.2019, no objection treated as final; 6-7 Shishir Jain para 16 quoted; 8 procedure dehors s.126 and Clauses 6.8 and 8.1, Clause 8.1 described as the theft path, treating provisional as final without hearing violates natural justice; 9 representation directed without entering merits; 10 stay of coercive action; 11 no benefit if representation not filed). Petitioner invoked s.126(3) and Clauses 6.8 and 8.1; the Court's holding is framed as Section 126 and Clauses 6.8 and 8.1, with Clause 8.1 identified as the theft procedure. Catalog hits on Clauses 4.3, 4.35-4.39 and 8.14 are false positives.

HOLDING-UNIT · EA2003::126

No deposit can be compelled on a provisional Section 126 assessment without a final assessment after hearing

QUESTION

Can a consumer be compelled to deposit a provisionally assessed amount when no final assessment after hearing has been made or supplied?

HOLDING

No. Following Shishir Jain paragraph 16, without a final assessment after considering the objection and giving an opportunity of hearing, the consumer cannot be compelled to deposit any amount. The procedure adopted by respondent no. 3 was held dehors Section 126. The writ court did not itself make or quash an assessment; it sent the matter back for a speaking final assessment after hearing. ¶ 4, 6-9

QUALIFIER

Petitioner invoked Section 126(3); the Court's own holding is framed as Section 126. The 1958 Act demand notices were not construed or quashed.

HOLDING-UNIT · UP-2005::6.8

Clause 6.8 cited as also violated; not separately construed

HOLDING

The petitioner invoked Clause 6.8 together with Clause 8.1 and Section 126(3). The Court held the procedure dehors Clause 6.8 as well as Clause 8.1 and Section 126, but identified Clause 8.1 as the theft-assessment procedure and did not separately construe Clause 6.8. ¶ 4, 8

FLAG Both 6.8 and 8.1 were named; the Court did not decide whether the demand was unauthorised use or theft.

PRINCIPLE TAGS

opportunity-before-final-assessment The Court would not let recovery of Rs. 10,42,949 stand as concluded where the 16.9.2019 provisional assessment was treated as final without a hearing or supply of a final order; a representation for a speaking final assessment after hearing was directed. Lead authorities: *Shishir Jain v. Paschimanchal Vidyut Vitran Nigam Ltd.* ¶ 3-5, 8-9

clause-8.1b-personal-hearing-mandatory-before-final-assessment Clause 8.1 was applied as the theft procedure requiring inspection, provisional assessment, hearing and final assessment; treating the provisional figure as final without a hearing was held to violate that procedure and natural justice. Lead authorities: *Shishir Jain v. Paschimanchal Vidyut Vitran Nigam Ltd.* ¶ 8

final-assessment-order-mandatory-under-section-126-3 Following Shishir Jain paragraph 16, the petitioner could not be compelled to deposit the provisional amount unless a final assessment was made after considering the objection and granting a hearing under Section 126. Lead authorities: *Shishir Jain v. Paschimanchal Vidyut Vitran Nigam Ltd.* ¶ 6-8

ex-parte-s126-assessment-requires-hearing-before-recovery The licensee had treated the 16.9.2019 provisional notice as final because no objection was filed; recovery on that basis was held unsustainable until a hearing and a final assessment. Lead authorities: *Shishir Jain v. Paschimanchal Vidyut Vitran Nigam Ltd.* ¶ 5, 8-10

6.8-procedure-mandatory The Court held the licensee's procedure dehors Clause 6.8 as well as Clause 8.1 and Section 126, without separately construing Clause 6.8. ¶ 4, 8

assessment-demand-notices-relegated-to-representation-without-merits Without entering the merits or quashing the recovery, the Court directed a fresh representation to respondent no. 3 for a reasoned speaking final assessment

after hearing. ¶ 9

NOT DECIDED — NEGATIVE AUTHORITY

NOT DECIDED — MERITS OF THE ILLEGAL-USE/THEFT ALLEGATION AND THE QUANTUM OF RS. 10,42,949

Writ disposed without entering into the merits; left to a speaking final assessment after hearing on the representation.

¶ 9

NOT DECIDED — WHETHER THE PROVISIONAL ASSESSMENT NOTICE DATED 16.9.2019 WAS SERVED, AND WHETHER OBJECTIONS WERE FILED

Petitioner said the notice was never served and that objections were filed but not considered. Licensee said a notice issued and no objection was filed. The Court did not find on service or on whether objections existed. ¶ 3, 5, 8

NOT DECIDED — QUASHING OF THE ASSESSMENT CUM RECOVERY NOTICE DATED 16.9.2019 AND THE 31.12.2019 DEMAND NOTICES UNDER THE U.P. GOVERNMENT ELECTRICAL UNDERTAKING (DUES RECOVERY) ACT, 1958

Sought as relief (i). Neither was quashed; coercive action was stayed only for six weeks or until the representation is decided, whichever is earlier. The 1958 Act was not construed. ¶ 2, 9-11

NOT DECIDED — WHETHER THE DEMAND WAS A THEFT ASSESSMENT (CLAUSE 8.1) OR OTHER UNAUTHORISED USE (CLAUSE 6.8)

Both clauses were held to have been departed from; Clause 8.1 was identified as the theft procedure, but no election was made. ¶ 4-5, 8

TABLE OF AUTHORITIES

AUTHORITY	PROPOSITION	HOW TREATED	CITED BY	TREATMENT
<i>Shishir Jain v. Paschimanchal Vidyut Vitran Nigam Ltd. and another</i> 2017 (3) AWC 3084 Allahabad High Court	If there is no final assessment, the consumer cannot be compelled to deposit the amount of the provisional assessment; without a final assessment after considering the objection and giving an opportunity of hearing, notices demanding that amount are unsustainable (para 16).		Court	Followed

SCJ-3246 · Iqbal Ahmad v. State of U.P. & 2 Others · · Supply Code Jurisprudence

A jurisprudence extract prepared from the text of the judgment; not a substitute for the judgment, and to be verified against the original before use.